NVIDIA (NVDA): Investment Memo

Recommendation: HOLD | Blended intrinsic value **$207** vs. price **$226.32** (-9%) | Probability-weighted value **$202** (-11%)

Valuation date 13-Oct-2026. Based on NVIDIA's FY2026 Form 10-K data and Q2 FY2027 results (26-Aug-2026). Companion model: NVIDIA_DCF_Valuation_Model.xlsx. Academic exercise, not investment advice.

1. Summary

NVIDIA is the central supplier of AI compute, and its numbers are extraordinary: FY2026 revenue was $215.9bn (+65%), Q2 FY2027 revenue was $96.2bn (+106% y/y) with Data Center at $89.0bn, gross margin was 75%, and Q3 is guided to $108bn. My base case already assumes FY2027 revenue of about $404bn and still lands slightly below today's price. The stock is a good business priced for a very strong outcome, not a mispriced one. I rate it HOLD: the upside case needs growth above my base case, and the downside case is severe.

2. Valuation

Scenario	Value/share	vs. price	Probability
Bear	$72	-68%	25%
Base	**$207**	**-9%**	**50%**
Bull	$321	+42%	25%
Probability-weighted	$202	-11%	

Method: 10-year FCFF DCF (FY2027E-FY2036E), mid-year convention with a stub to the 31-Jan-2027 year-end, WACC of 11.85% (risk-free 4.7%, beta 1.60, equity risk premium 4.5%, 99% equity weight). Terminal value uses a value-driver perpetuity (g = 3.5%, return on new capital 30%, so growth is paid for by reinvestment) cross-checked with a 14x EV/EBITDA exit multiple. The perpetuity method gives $183 and the exit method $231; the blend is $207. Stock-based compensation is treated as a real cost. Cash, securities and (at a 75% haircut) non-marketable stakes are added; $33bn of debt is deducted.

3. Base-case forecast

- Revenue: $404bn in FY2027E (anchored to H1 actual of $177.8bn plus Q3 guidance), $822bn in FY2030E and $1.36tn in FY2036E, with growth fading from 87% to 5%.
- Operating margin: 65% in FY2027E (H1 actual 65.9%) fading to 47% by FY2036E as competition and mix normalise.
- Cash conversion: operating working capital is held near 14.7% of revenue, so rapid growth absorbs cash through receivables and inventory.
- Terminal value is about 49% of enterprise value under the perpetuity method.

4. What the market is pricing in

The reverse DCF shows that, at a 47% terminal margin, today's price needs roughly **20%** annual revenue growth from FY2028 to FY2036, against 14.4% in my base case. Equivalently, the price implies an exit multiple of about 13.5x FY2036E EBITDA. Valuation is highly sensitive to the discount rate: a beta of 2.2 (Google Finance) instead of 1.6 raises WACC by roughly 3 points and cuts value sharply.

5. Investment thesis

1. **Demand visibility:** hyperscalers, sovereign programs and a widening group of frontier AI labs are scaling in parallel; Vera Rubin is in full production.
2. **Platform lock-in:** CUDA, networking and systems integration support 75% gross margins at scale.

3 **Capital return:** about $99bn of buyback authority remains.

6. Key risks

- **AI capex digestion:** a pause in hyperscaler spending would hit growth and margins together (see the Bear case).
- **Concentration and circular financing:** customers include AI labs that NVIDIA also invests in, and partnerships aim to mobilise over $500bn of third-party capital.
- **Custom silicon:** TPUs, Trainium and in-house chips compete for inference workloads.
- **China export controls:** Q3 guidance assumes no China Data Center compute revenue.
- **Margin normalisation and supply constraints** (HBM, advanced packaging).

7. Catalysts and what would change my view

- Q3 FY2027 results in late November 2026 against the $108bn guide.
- Upgrade toward BUY: evidence of growth sustaining above 20% beyond FY2028, or a pullback toward roughly $175-185 (about a 15% discount to blended value).
- Downgrade toward SELL: gross margin falling below about 70%, or order cuts from the largest customers.

8. Limitations

FY2024 historicals come from filing comparatives and should be re-verified. The risk-free rate is the latest data point found (30-Jul-2026). Beta, equity risk premium and all forecast drivers are analyst assumptions. Valuation is dominated by terminal assumptions and the discount rate.